



INDIA TRADE — SECTOR & POLICY RECOMMENDATIONS

India Trade Watch Quarterly

A quarterly assessment of India's trade position and the policy architecture answering it, structured on NITI Aayog's Trade Watch Quarterly template: the merchandise position, partner concentrations, sector verdicts on FY2025-26 data, this quarter's special theme — the five-year migration of incentive design away from production-linked payouts — the policy developments register, the investment-lifecycle monitor, and a statistical annex. Every figure carries its source; every judgment shows its criteria; corrections are displayed, never silent.

July 2026 edition · covering FY2025-26 full-year data and Cabinet decisions to 15 Jul 2026

Interactive bulletins, data JSONs and the PIB register (83,734 releases): herrickshaw.github.io/india-trade-sector-policy-recommendations

Highlights

The position: imports \$776.0bn (+7.4% y/y) against exports \$441.7bn (+0.9%) — a **–\$333.2bn deficit, widened 17.5%** in one year (series –191 → –265 → –241 → –284 → –333). Mineral fuels alone are 26.2% of the import bill; China alone is a –\$112.2bn bilateral gap; the rupee fell 11.9% in twelve months.

The verdicts: re-run on FY2025-26 data, the ten-sector scorecard reads **1 green / 6 amber / 3 red** — both FY25 greens (Electronics –43.5% FDI, Medical Devices –40.4%) reversed; Pharmaceuticals took the green slot (FDI +114% after real disbursal; Penicillin-G made in India again).

The machinery engaged: the IEM implementation ratio broke upward to **82% (2024) and 109.9% (2025)**; environmental-clearance grants accelerated 198 → 734 → 1,102/yr and correlate **0.96** with state implementation; Gujarat runs the full chain at 33.8% of national implementation.

The special theme: incentive design has migrated away from production-linked payouts — new PLI-type schemes fell **11 → 1 → 1 → 0 → 2 → 0** across 2021–2026, and even at the 2021 peak production-linked outlay was only 11.2% of newly committed money. 2026's ~₹1.9 lakh crore wave de-risks inputs: land, credit, insurance, viability gaps.

The delivery gap persists: ₹28,748cr disbursed across the PLI programme ≈ 15% of outlay after five years (Pharma A and Electronics A– carry it; ACC has paid zero; 14 of 58 steel projects withdrew). 836 approved applications programme-wide, but only about half the schemes have ever published per-scheme counts.

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The quarter at a glance: linked movements

The recurring roster this report is built around: each row pairs a **policy movement** with the **trade movement** it answers and the **forex consequence** that links them — because in this economy the three are one system: deficits are paid in forex, forex pressure motivates substitution policy, and policy (when it works) shows up back in the trade ledger.

POLICY MOVEMENT (THIS CYCLE)	TRADE MOVEMENT IT ANSWERS	FOREX LINK
Import-substitution wave: gasification ₹37,500cr, NIPU-2026 urea, pulses & cotton missions	Deficit widened 17.5% to −\$333.2bn; fuels 26.2% of the bill; fertiliser imports +118.9%	Rupee −11.9%/12mo (vs ~3.3%/yr prior decade) — every widening is paid in forex; ethanol's precedent shows the loop can close (₹1.97L cr saved)
MPMS + Semicon 2.0 + ECMS tranches (electronics continuity)	Electronics exports +324%/5y to \$54bn (smartphones #1 export) but imports doubled to \$104.9bn — the component gap	Net electronics forex still negative; component localisation is the swing variable the new schemes target
Bharat Maritime Insurance Pool (₹12,980cr sovereign guarantee)	Russia at 35.8–35.9% of crude imports, discount-driven, dirham-settled	Keeps the discounted-crude lane open against insurance exclusion — a forex saving defended by insurance capacity, invisible in any scheme table
Press Note 3 Beneficial-Owner amendment; FDI \$88.3bn (equity +18%)	China −\$112.2bn bilateral deficit, 58% industrial inputs, unmoved by six years of PLI	Capital inflows part-fund the goods deficit — FDI attraction and import substitution are two halves of one balance-of-payments policy
Export Promotion Mission (NIRYAT PROTSAHAN subvention + guarantees) after IES lapsed	Exports +0.9% y/y — flat against 7.4% import growth; USA is top-8 destination in 11 of 12 growth chapters	US tariff-regime expiry (24-Jul-2026) is the near-term forex-earnings risk on the most concentrated destination
E20 achieved five years early; beyond-E20 decision due 31-Oct-2026	~316 lakh MT of crude never imported (cumulative)	₹1.97 lakh crore of forex saved since 2014-15 — the completed loop every new substitution scheme is measured against

Figures: TRADESTAT/Exim (trade), PIB PRID-cited releases (policy), RBI-reference rupee series (forex). Each cycle this roster is re-drawn from the quarter's register — the template of this report.

1 · Merchandise trade performance

FY2025-26 closed with imports of **\$776.0bn** (+7.4% y/y; +26.6% over five years) against exports of **\$441.7bn** (+0.9% y/y; +4.7% over five) — imports grew 5.7× faster than exports over the five-year window, and the deficit widened 17.5% in a single year to **−\$333.2bn**.

INDICATOR	FY2025-26	CHANGE	NOTE
Merchandise imports	\$776.0bn	+7.4% y/y	+26.6% over five years
Merchandise exports	\$441.7bn	+0.9% y/y	+4.7% over five years
Trade deficit	−\$333.2bn	+17.5% y/y	−191 → −265 → −241 → −284 → −333
Largest import head	\$203.4bn	Mineral fuels (HS27) — 26.2% of the entire bill	
Currency	₹ −11.9%/12mo	vs ~3.3%/yr prior-decade average — deficits are paid in forex	
Offsetting inflow	FDI \$88.3bn	total Apr–Feb FY26; \$58.85bn equity (+18%)	

TRADESTAT; Exim/MOCI cross-validated within 0.3%; DPIIT factsheets. Deep dives: abstract + trade bulletins on the site.

The export half works; the import half does not yet

Electronics exports rose **+324% over five years to \$54bn** (smartphones are India's #1 export item) — but electronics imports also doubled to **\$104.9bn**: the import bill is the input side of the export success. The only declining export chapters are the cotton-apparel ones PLI Textiles structurally misses. Seven of twelve growth import chapters still have no matching scheme; after the 2026 launches (\$5), the remaining large uncovered heads are **plastics (HS39)** and **inorganic chemicals (HS28)**.

2 · Trade by partner

PARTNER	BALANCE / SHARE	READING
China	−\$112.2bn	More than double the next-largest deficit; 58% of imports are HS84/85 industrial inputs feeding India's own assembly lines — unmoved by six years of PLI
Russia	35.8–35.9% of crude	From ~2.5% pre-2022 with no scheme behind it — market-driven; the ₹12,980cr Bharat Maritime Insurance Pool (Apr 2026) now hardens this lane against insurance exclusion
UAE / Switzerland	−\$26.5bn / −\$23.1bn	Structural gold/gems re-export flows — a deliberately open door, not a substitution gap
USA	Surplus; #1 destination	Top-8 destination in 11 of 12 growth export chapters (\$63.9bn) — a bigger concentration than China's grip on imports; the flat-10% tariff replacement expires 24-Jul-2026

Commerce TIA/TRADESTAT country*commodity validation; details in the country-deficit bulletin.

3 · Sector performance & verdicts (FY2025-26)

All ten sector verdicts re-run on FY2025-26 FDI data: **1 green / 6 amber / 3 red**. Both prior greens reversed hard — a reminder that verdicts decay and must be re-measured quarterly.

SECTOR	VERDICT	CARRYING EVIDENCE
Pharmaceuticals	GREEN	FDI +114% after real disbursal (₹5,433cr, 36% of outlay); investment 237% of commitment; Penicillin-G restored
Electronics	AMBER ↓	FDI −43.5% in FY26 after the FY25 green; exports still #1; LSEM tenure closed → MPMS successor
Medical devices	AMBER ↓	FDI −40.4%; disbursal thin (₹157.15cr to 7 applicants)
Auto / EV / steel / white goods / textiles / food	AMBER	Mixed delivery; steel carries a 24% project-withdrawal rate; textiles payouts began at ₹54.5cr to two unnamed firms
Inorganic chemicals · plastics · (textiles-apparel)	RED	No scheme coverage on the two largest uncovered import heads; apparel sits in PLI Textiles' MMF blind spot

FY26 verdict re-run bulletin (criteria stated per verdict); grades from the PLI report card.

4 · Special theme: the migration away from production-linked design

This quarter's theme chapter, from the programme's 83,734-release PIB register: every incentive launch in the Cabinet record 2021–2026 (93 classified launches), read as one series.

YEAR	ERA	NEW PLI-TYPE SCHEMES	PROD-LINKED SHARE OF NEW ₹
2021	The PLI big bang — plus quiet mission money	11	11.2%
2022	Rescue & consolidation (BSNL ₹1.64L cr, ECLGS)	1	6.2%
2023	Missions & VGF arrive (Green Hydrogen, BESS)	1	13.8%
2024	The capex-subsidy year	0	0%
2025	Funds & mega-packages; payouts migrate to jobs	2 (hybrids)	7.7%
2026 YTD	De-risking inputs	0	0%

Three readings: **(1)** production-linked was never where the money was — the 11 PLI launches of 2021 (₹1.17L cr) were 11.2% of that year's ₹10.5L cr of new commitments; infra missions carried 6× the outlay. **(2)** The "linked" payout base migrated output → design → **employment** (ELI 2025, ₹99,446cr — larger than any single PLI). **(3)** 2026's ~₹1.9L cr wave (Urban Challenge Fund ₹1L cr, gasification VGF ₹37,500cr, BHAVYA parks ₹33,660cr, BMI pool, ECLGS 5.0, NIPU-2026) pays for land, credit, risk and viability gaps — instruments that spend when investment happens, not when output does. After ~15% PLI disbursal in five years, that reads as revealed preference.

Investor implication: underwrite output-linked incentives as upside, not base case (grade-A exceptions: Pharma, Electronics); capex/VGF/credit instruments pay with the build. Windows live now: UNNATI (→30-Sep-2026), Gasification 2026 Round-1, DoP API-CF/SMDI, ECMS (extended), ALMM. The full 8-step investor route (NSWS → KYA → portals → gates) is published as the investor-workflow bulletin.

Five-year evolution bulletin (all 93 launches PRID-cited); beyond-PLI 2026 bulletin.

4b · Matured schemes: the returns already in

The counterpart to the theme chapter: schemes launched 2014–2020 whose incentive → investment → outcome loop has **already closed** — the cohort that shows which instrument designs actually produce trade and forex results in India. (The PIB register is being extended to 2017–2020 for a full launch-to-outcome trace; the modern portal's day-wise record begins in 2017, so 2014–16 launches are traced through later releases — the method that built the ethanol case.)

SCHEME (LAUNCH ERA)	INSTRUMENT DESIGN	OUTCOME NOW ON RECORD	TRADE/FOREX LINK
Ethanol Blended Petrol (2014 pricing era)	Administered pricing + guaranteed OMC offtake + distillery subvention + GST 5%	Blending 1.53% → 20% "five years ahead of schedule" (Factsheet 150699); >₹1.66L cr to farmers	₹1.97L cr forex saved; ~316 lakh MT crude substituted (PRID 2283118)
M-SIPS → PLI- LSEM (2012/2020)	Capex subsidy era → production- linked era	Smartphone base built: LSEM completed its tenure with exports at 121% of target; Foxconn/ Dixon/ Samsung producing	Smartphones = India's #1 export item (CY2025); electronics exports \$54bn
Solar manufacturing push (NSM era → PLI T1/ T2)	Market-access (ALMM) + tender-linked PLI post- commissioning	100 GW of ALMM-listed module capacity crossed (Aug 2025); ~30 GW commissioned under PLI design	Import-dependence in modules falling; List-II cell enforcement (to 31-Dec-2026) extends it upstream
UDAN (2016)	Route-level VGF to airlines	Regional network built enough to justify a 10- year, ₹28,840cr Modified UDAN successor (FY27–36)	Demand-side; services/tourism earnings channel

FAME-I/II (2015/2019) → EMPS → PM E-DRIVE	Demand incentives via OEMs	An EV market real enough that successors are extended segment-wise (e-2W to Jul-2026, e-3W to Mar-2028)	Petroleum-import avoidance channel; battery imports remain the offset (ACC gap)
NIP-2012 urea plants	Assured-return investment policy	Plants built (Matix, Ramagundam et al.) — the precedent NIPU-2026 explicitly extends with better terms (RoE band 12–16%)	Urea import substitution; fertiliser imports (+118.9%) are the gap NIPU now targets
SATAT (2018)	Assured-price CBG offtake by OMCs	Ecosystem instruments in place (PSL status, FOM recognition, LTOAs); scale still modest — the honest laggard in the cohort	Gas-import substitution channel, largely unrealised yet

What the matured cohort teaches: the completed successes share a demand-side guarantee (offtake, administered price, assured return, market access) rather than an output payout — ethanol, urea-NIP, ALMM and M-SIPS-era electronics all closed their loops on **guaranteed-buyer or guaranteed-terms designs**. That is precisely the design family 2025–26's new instruments (NIPU, gasification VGF, BMI pool, offtake mechanisms) return to — the five-year migration of §4 is, in hindsight, a reversion to what had already worked.

Session-verified figures (PRIDs as cited; ministry portals for LSEM/ALMM/E-DRIVE). Full launch-to-outcome cohort bulletin in progress on the extended 2017–2026 register.

5 · Trade & investment policy developments

Launches and successions this cycle

- **15-Jul-2026 Cabinet:** MPMS (PLI-LSEM successor: 2.25–5% on mobile sales FY27–31, ₹62,500cr), **Semicon 2.0** (₹1,27,500cr, six pillars incl. a new equipment/materials lane), and **NIPU-2026** (urea investment policy, RoE band 12–16%).
- **Scheme endings observed:** LSEM completed its tenure (31-Mar-2026, first PLI to do so); PLI Drones expired FY24 with no successor; IFLDP's ₹1,700cr window closed (NSWS carried the only formal notice); Interest Equalisation lapsed Dec-2024 → NIRYAT PROTSAHAN; Food Processing sunsets FY27 with no successor announced.
- **Displayed correction:** PM E-DRIVE was **extended** segment-wise (e-2W →31-Jul-2026, e-rickshaws/carts →31-Mar-2028; L5 closed 26-Dec-2025) — the live portal superseded the announced two-year window.
- **FDI rules:** Press Note 3 amended (10-Mar-2026) with defined Beneficial-Owner criteria for land-border-country screening; Semicon 2.0 admits OCI-owned companies in design.
- **Attrition disclosures:** 14 of 58 specialty-steel Round-1 projects withdrew; White Goods slid 85 → 80 beneficiaries unexplained; an ACC awardee (20 GWh) vanished from DHI documents; 10 GWh re-tendered.

Verification notes (why this register, not ministry pages)

The 20-Jul-2026 sweep of 16 ministry websites found the estate partly headless (MeitY/DoT/DPIIT content lives in public wp-json CMS APIs behind JS shells) and partly dark (fert.nic.in and texmin.nic.in DNS-dead; mines.gov.in unreachable; msme.gov.in's scheme list unrenderable) — and six flagship scheme pages provably stale. Cabinet releases and live application portals are the reliable surfaces; this report cites PRIDs throughout.

`Scheme registry + ministry incentive catalog (site-verified); PIB index (--update quarterly).`

6 · Investment lifecycle monitor

The programme measures the investment pipeline at seven gates: announcement → IEM Part A (intent) → land + environmental clearance → IEM Part B (production) → incentive disbursal → FDI equity → trade outcome.

GATE	THIS CYCLE'S READING	SIGNAL
IEM implementation ratio	82% (2024) → 109.9% (2025)	Implemented investment exceeded same-year intent for the first time — the 2021-22 intent surge matured into plants
Environmental clearances	198 → 734 → 1,102/yr	Grant flow accelerating; EC grants correlate 0.96 with state implementation value — the best forward indicator found
State leadership	Gujarat 33.8%	Full-chain leader (intent, clearance, production; 178% conversion); top-3 states hold 63.3%; Odisha is #2 implementer with 0.14% of FDI (domestic steel capital)
PLI disbursal	₹28,748cr ≈ 15%	Concentrated in two sectors; ACC at zero; FY25 flow ₹10,114cr and accelerating in electronics/auto
FDI equity	\$58.85bn (+18%)	State-wise attribution remains registered-office-based — a documented data defect, not a measurement

State IEM bulletin; PARIVESH EC pipeline (open API, 113,804 proposals); PLI report card; DPIIT quarterly newsletter.

7 · Statistical annex

A1 · PLI disbursal report card

SCHEME	OUTLAY ₹CR	DISBURSED ₹CR	GRADE
Electronics (LSEM + IT-HW)	11,324*	15,554	A–
Pharmaceuticals	15,000	5,433	A
Food Processing	10,900	1,084	B
Telecom	12,195	~1,175	B
Bulk Drugs / Medical Devices	6,940 / 3,420	~54.8 / 157.2	B / B
White Goods / Solar	6,238 / 24,000	281.4 / 0 (by design)	B– / B–
Drones (expired)	120	30	C+
Auto & components	25,938	2,377.6	D+
Specialty Steel / Textiles	6,322 / 10,683	48 / 54.5	D / D
ACC Battery	18,100	0	F

*combined disbursal spans both electronics schemes. Sources per row in the report-card bulletin (PRIDs + Parliament answers).

A2 · Scheme window calendar

DATE	EVENT
24-Jul-2026	US flat-10% tariff replacement expires
31-Jul-2026	PM E-DRIVE e-2W window ends (as extended)
30-Sep-2026	UNNATI registration closes
31-Oct-2026	Beyond-E20 ethanol decision due
31-Dec-2026	ALMM List-II (solar cells) transition window ends
FY2026-27	PLI Food Processing final incentive year; no successor announced

A3 · Where the deep data lives

Interactive bulletins (24), sourced data JSONs, the PIB register (83,734 releases, 2020–2026, SQL-queryable), the scheme registry, the site-verified ministry catalog, and the 8-step investor workflow: herrickshaw.github.io/india-trade-sector-policy-recommendations. Quarterly refresh follows the repository's blueprint (per-gate change-data-capture; corrections displayed, never silent).